

SOFTWARE DEVELOPERS

William Mougayar, author of *The Business Blockchain*, has written extensively about how to identify and evaluate new blockchain ventures and sums up the importance of developers succinctly: “Before users can trust the protocol, they need to trust the people who created it.”¹¹ As we touched upon in the prior chapter, investigate the prior qualifications of lead developers for a protocol as much as possible.

While the initial pedigree of developers is important, so too is their long-term commitment. Developers shouldn’t create a protocol and simply walk away. These systems are made of open-source software, which must evolve over time to stay secure and relevant. If no one is maintaining the software, then two things will happen: One, bugs will be found and exploited by bad actors. Two, without enough developers, the software will stagnate, ultimately losing out to more compelling projects.

Developers have their own network effect: the more smart developers there are working on a project, the more useful and intriguing that project becomes to other developers. These developers are then drawn to the project, and a positively reinforcing flywheel is created. On the other hand, if developers are exiting a project, then it quickly becomes less and less interesting to other developers, ultimately leaving no one to captain the software ship. With no one at the helm, then the companies and users relying upon it will ultimately defect as well, all of which will drop the value of the cryptoasset.